

1.

CASE #	CASE NAME	HEARING NAME
CVPS2406011	QUIET WING AEROSPACE, LLC VS COULSON AVIATION (USA), INC.	PLAINTIFF/X-DEFENDANT QUIET WING AEROSPACE, LLC'S MOTION FOR SUMMARY ADJUDICATION ON COMPLAINT FOR BREACH OF CONTRACT/WARRANTY

Tentative Ruling: Granted.

Moving party to provide notice pursuant to CCP 1019.5.

Beginning in 2020, Plaintiff Quiet Wing Aerospace, LLC ("Plaintiff") and Defendant Coulson Aviation (USA), Inc, ("Defendant") began discussion regarding a mutually beneficial business arrangement relating to auxiliary aircraft fuel tanks for certain Boeing aircrafts. Negotiations broke down in 2023 but were later resumed. In October 2023, Defendant represented that it wanted to check whether the fuel tank would fit Boeing 300 series aircraft. Plaintiff agreed to lend Defendant a tank for the single purpose of fit testing it. Defendant picked up the tank, as well as drawings, plans and specs for the tank. On December 17, 2023, Plaintiff sent Defendant a proposed cooperation agreement. Defendant did not agree to the terms and made redline changes. Ultimately, the parties were not able to come to an agreement. Plaintiff demanded the return of the tank and drawings and began making arrangements for pickup. However, as of September 2024, Defendant refused to return the property.

On September 25, 2024, Plaintiff filed its Complaint. It asserts four causes of action for: (1) Conversion; (2) Injunctive Relief; (3) Declaratory Relief; and (4) Breach of Nondisclosure Agreement/Specific Performance.

On December 17, 2024, the Court issued a temporary restraining order ("TRO").

On January 10, 2025, the Court issued an order for writ of possession, directing Coulson to turn over possession of the tank and drawings to Quiet Wing. (RJN Ex. E.) On the same day, the court issued a preliminary injunction prohibiting Coulson from transferring any interest in Quiet Wing's property by sale, concealing or removing Quiet Wing's property, and impairing the value of the property; and mandating that Coulson transmit to Quiet Wing various certifications, including that no copies of the drawings had been made and to destroy or return any copies that had been made. (RJN Ex. F.) Those certifications were eventually provided after Quiet Wing applied for an OSC re: why Coulson and its COO should not be found in contempt of court for not producing the required certifications. (UMF 25-27.)

The tank, disputed equipment, is now back in Quiet Wing's possession pending final resolution of the parties' dispute over its ownership and possessory rights.

On January 16, 2025, Coulson Aviation filed its Cross-Complaint against Quiet Wing alleging: (1) breach of oral agreement; and (2) promissory estoppel.

On July 25, 2025, the court entered a Stipulation and Protective Order that restricts the use of materials designated "confidential" to this litigation and expressly prohibits any use "for any business or other purpose whatsoever." (Protective Order ¶7.)

Plaintiff Quiet Wing brings two separate motions for summary judgment/adjudication. The first is a motion for summary adjudication as to the third and fourth causes of action in its Complaint. The third cause of action is for declaratory relief. Quiet Wing argues the undisputed material facts

demonstrate it owned the tank and drawings and Quiet Wing is entitled to final possession of those items. The fourth cause of action is for breach of the nondisclosure agreement/specific performance. Quiet Wing argues Coulson failed to comply with the terms of the NDA and Quiet Wing's requests, making Quiet Wing entitled to specific performance.

Coulson opposes both motions arguing there are triable issues of material facts as to all of the challenged causes of action. Coulson argues there was an agreement between the parties and it did not breach the NDA between the parties. Coulson argues it purchased the tank pursuant to a purchase agreement between the parties.

Request for Judicial Notice (RJN)

In support of its motion for summary adjudication on its Complaint, Quiet Wing asks the court to take judicial notice of eleven (11) documents and four (4) facts. The documents are all court records from the instant action which are subject to judicial notice under Evidence Code §452(d). 9 documents are GRANTED.

Quiet Wing also asks the court to take judicial notice of the following facts:

1. When Quiet Wing's petition for preliminary injunction was pending, Coulson did not request that the Court except from its ruling, calling for destruction of drawings, any copies of those documents as part of a "litigation hold;"
2. The Court's Preliminary Injunction Order (Ex F) does not allow Coulson to retain any copies of the drawings as part of a "litigation hold;"
3. When Quiet Wing moved for an OSC re contempt because Coulson failed to comply with the Court's preliminary injunction order mandating that Coulson destroy all copies of the drawings, Coulson did not ask the court to allow it, or its counsel, to retain any copies as part of a litigation hold; and
4. Quiet Wing has filed a Notice of Withdrawal without prejudice, of the allegations in ¶67 of its Complaint.

Based on the record before the court and the fact that Coulson has not objected to these requests, the Court grants the 4 requests. GRANTED

Evidentiary Objection(s)

Quiet Wing makes twenty-six (26) objections to evidence offered in support of Coulson's Opposition. Quiet Wing withdrew objections 2, 5, 6, 23, and 24. OVERRULED AS TO 12-26.

Quiet Wing objects to Exhibits H, J, K, P, Q, S, T, U. (Objections 1-11.) Quiet Wing objects to relevance, lack of authentication, and improper legal conclusions. DECLINED, NOT RELEVANT TO RULING.

Quiet Wing also objects to deposition testimony. Quiet Wing challenges testimony where Britton Coulson stated the parties had an agreement to purchase the tanks. Quiet Wing also objects to testimony from Peter Swift about the parties' communications. Quiet Wing objects to Philip Kirk's testimony about his role in the deal between the parties. The objections are based on relevance, improper legal conclusions, and hearsay. The testimony is admissible, but the court notes the challenges to any legal conclusions contained within that testimony. The weight the court places on the testimony is separate from admissibility.

Summary Adjudication

Summary judgment is granted when a moving party establishes the right to entry of judgment as a matter of law. (CCP § 437c(c).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (CCP § 437c(p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

Defendant, as the moving party, has the burden to show either that one or more elements of the cause of action cannot be established or that there is a complete defense to that cause of action. (CCP §437c(p)(2).) Defendant can meet their burden by showing either: (1) affirmative evidence that shows an element of the claim cannot be established; or (2) showing an absence of evidence on a critical element of Plaintiff's claim.

Where Plaintiff seeks summary judgment, the burden is to produce admissible evidence on each element of a cause of action entitling plaintiff to judgment. (CCP §437c(p)(1).) It is not plaintiff's initial burden to disprove affirmative defenses and cross-complaints asserted by defendant. (See CCP §437c(p)(1); *Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468.)

Once the moving party has made such a showing, the burden shifts to the responding party to show that a triable issue of one or more material facts exists as to that cause of action or as to a defense to the cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.) If the responding party does not make such a showing, summary judgment in favor of the moving party is appropriate.

"The purpose of the summary judgment procedure is not to try the issues but merely to discover ... whether the parties *possess evidence* which demands the analysis of trial." (*Colvin v. City of Gardena* (1992) 11 Cal.App.4th 1270, 1275 (italics added).) Summary judgment can be granted only where the essential facts are either conceded or beyond dispute. If there is one, single material fact in dispute, the motion must be denied.

The court also has the power to summarily adjudicate that one or more causes of action have no merit, that there is no merit to one or more affirmative defenses, or that a defendant owed or did not owe a duty to plaintiff. A motion for summary adjudication shall only be granted if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (CCP §437c(f)(1).)

3rd Cause of Action – Declaratory Relief

Any person interested under a contract may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an action for declaration of his rights and duties including any question of construction or validity arising under the contract. (CCP §1060.) "Declaratory relief operates prospectively, serving to set controversies at rest...where there is an accrued cause of action for an actual breach of contract or other wrongful act, declaratory relief may be denied." (*Osseous Technologies of America v. Discovery Ortho Partners* (2010) 191 Cal. App. 4th 357, 366 (citing 5 Witkin, Cal. Procedure (5th ed. 2008) Pleading, §869, p.284).)

Quiet Wing seeks a declaration of its possessory right to the tanks and drawings to the exclusion of Coulson. Quiet Wing contends it is the rightful owner of the tank and drawings under the terms of the NDA dated August 10, 2020. (Comp. ¶149.) Quiet Wing argues two independent bases for the declaratory relief sought: (1) common law bailment principles entitle Quiet Wing to possession the tank and return/destruction of the accompanying drawings; and (2) the NDA entitles Quiet Wing to declaratory relief.

First, Quiet Wing argues the loan of the tank and drawings to Coulson created a bailment. “Defined broadly, bailment is ‘the delivery of a thing in trust for some special object or purpose, upon a contract, express or implied.’ [Citation.] [¶] A deposit of personal property to be cared for until the owner demands redelivery has been held to constitute bailment in a variety of factual contexts.” (*Greenberg Bros., Inc. v. Ernest W. Hahn, Inc.* 91966) 246 Cal.App.2d 529, 531 [“bailee for hire is liable only when he has been guilty of some negligence”].) “Where a bailment is for mutual benefit the bailee in the absence of a special contract is held to the exercise of ordinary care in relation to the subject-matter of the bailment and is responsible for loss or injury resulting from his failure to use ordinary care.” (*Windeler v. Scheers Jewelers* (1970) 8 Cal.App.3d 844, 850.)

“In our Civil Code, bailments are referred to as deposits (Civ Code, § 1813 et seq.), but the case law still often employs the common law term, bailment, as well as bailor and bailee.” (*Gebert v. Yank* (1985) 172 Cal.App.3d 544, 551.) A bailee is not an insurer of the goods left in his possession, he or she is only responsible “if the failure to redeliver is caused by his negligence. When the goods are lost, destroyed or damaged by accident, without any failure on the part of the bailee, the loss must fall on the bailor.” (*Gebert, supra*, 172 Cal.App.3d at 551, citation omitted.)

Quiet Wing’s bailment argument is too simplistic to resolve the dispute between the parties. The terms of the NDA provided specific provisions for the exchange of property between the parties. Simply arguing the common law idea of bailment meant Coulson had to give the item back to Quiet Wing upon Quiet Wing’s request ignores the existence and terms of the NDA.

Second, Quiet Wing argues the terms of the NDA entitle it to the declaratory relief sought. (UMF 5, Paragraph 5 of the NDA.) Quiet Wing presents evidence that Coulson admitted under oath the drawings are “confidential information” within the meaning of the NDA. (UMF 4, 19.) Coulson does not dispute this admission. (Response to UMF 19.) Quiet Wing also argues provisions under UMF 4. In opposition, Coulson argues the plain language of the NDA does not make the said piece of equipment confidential information.

When a dispute arises over the meaning of contract language, first the court must ask if the language is “reasonably susceptible” to the interpretation urged by the party. If it is, the court then asks what did the parties intend the language to mean? (*People ex rel. Lockyer v. R.J. Reynolds Tobacco Co.* (2003) 107 Cal.App.4th 516, 524.) “In interpreting an unambiguous contractual provision we are bound to give effect to the plain and ordinary meaning of the language used by the parties.” (*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 684.) The court’s “paramount consideration” is the “parties’ objective intent when they entered into [the agreement].” (*People ex rel. Lockyer, supra*, 107 Cal.App.4th 525.) The dictionary definition of “information” is “knowledge that you get about someone or something: facts or details about a subject.” The NDA’s definition of “Confidential Information” therefore means any knowledge either party receives about assets, equipment, trade secrets, intellectual property, design, manufacturing, and technology, among others. (NDA ¶1.4.)

Here, it is difficult to imagine the disputed piece of equipment, which was designed by Quiet Wing (MSA 0087 at 17-18, MSA 0088 at 3-6), not qualifying as an asset, equipment, intellectual property, or technology. Certainly having the piece of equipment in its possession gave Coulson knowledge – “information” – about it. That was the entire reason the parties were working together: to see whether the equipment for a Series 700 AFT could be compatible with a Series 300. (MSA 0088 at 7-8.) Under the plain language of the NDA, the equipment qualified as Confidential Information.

Quiet Wing notes the equipment has not been disclosed to the public (UMF 15, 27) and was transmitted to Coulson while the NDA was in effect. (UMF 1, 11, 16.) This controlled disclosure does not make it “publicly available” for purposes of the NDA. Accordingly, Quiet Wing argues the equipment is confidential information under the terms of the NDA. Quiet Wing argues the fact that it made it available to the FAA for inspection does not mean it was publicly available. FAA Order 8110.4C, Appendix A, requires the FAA to not release proprietary information to any party who does not have written information from the applicant.

Quiet Wing notes the NDA prohibits the subject UMF 7. It seems obvious that the NDA would include a provision against such action, specifically to protect the parties from exchanging tangible items and then losing the proprietary information contained within those products. The inclusion of a provision against reverse engineering further indicates the parties intended for the NDA to apply to the physical auxiliary tank, as well as the related drawings.

The plain language of the NDA demonstrates the parties intended for the disputed piece of equipment to be included in the definition of “Confidential Information.” Accordingly, Quiet Wing is entitled to possession of the disputed piece of equipment and related drawings under the NDA. GRANTED.

4th Cause of Action – Breach of NDA for Specific Performance

Under its fourth cause of action, Quiet Wing seeks an adjudication that Coulson is in breach of the NDA and an order for specific performance: (a) granting Quiet Wing possession of the tank; and (b) directing Coulson to destroy all copies of the drawings and issue certifications regarding Coulson’s use, nondisclosure, and destruction of the same. The Court has already granted this relief on an interim basis, Quiet Wing seeks an adjudication that this injunctive relief of specific performance be granted on a permanent basis.

Originally, the Complaint sought an award of damages for Coulson’s alleged breach of the NDA. (Complaint ¶¶67.) However, Quiet Wing filed a notice of withdrawal, without prejudice, of the Complaint’s damages allegations in ¶¶67 only. (12/30/25 Notice of Withdrawal.) Thus, the court can fully dispose of the fourth cause of action via summary adjudication without deciding damages beyond the request for specific performance.

The resolution of this cause of action rests on a similar analysis to the previous claim. Quiet Wing presents evidence at all times relevant to this cause of action, the NDA was in effect between the parties. (UMF 11, 16.) As discussed above, the plain language of the NDA includes both the drawings and the disputed equipment as Confidential Information. Quiet Wing requested that Coulson return the tank and drawings, but Coulson did not do so until ordered by this court. (UMF 22-28.) Coulson has not presented any evidence that creates a triable issue of material fact as to its breach of the NDA. GRANTED.